airbnb
Marketplace Analysis

IMC 452 | Individual Assignment #1 | Minko Ma

Type of Marketplace

Two-sided digital marketplace connecting hosts (supply) with travelers (demand). Platform economy with **strong indirect network effects**.

Pricing Dynamics

Hosts set prices dynamically. Airbnb charges **~14% guest fee** and **~3% host fee.** Smart Pricing algorithm suggests optimal rates based on demand, seasonality, and local competition. Premium listings and Experiences enable differentiated pricing.

Ecosystem Stakeholders

- **Supply Side**: Individual hosts, property managers, Experience hosts and local guides
- **Demand Side**: Leisure travelers, business travelers, group bookers
- **External**: City/state regulators, third-party service providers (cleaning, co-hosting), advertisers and promoted listings partners

Supply & Demand: Opportunities and Constraints

Supply

+ Growing individual host supply globally
+ Expansion into experiences & long stays
- Regulatory restrictions in major cities
- Inconsistent host quality and trust

Demand

+ Unique travel experiences in high demand
+ Remote work enables longer stays
- Economic downturn reduces travel spend
- Competition from hotels & OTAs

Competitive Position *vs. Vrbo, Booking.com, Hotels.com, Expedia*

- **Stronger:** Unique/differentiated inventory, strong global brand, community trust via review system, Experiences vertical for content monetization
- **Weaker:** Limited business travel share, inconsistent quality vs. hotel chains, heavier regulatory exposure, higher fees in some markets

What Can It Improve

- Enhance pricing transparency
- Standardize quality assurance
- Expand loyalty programs to drive repeat bookings
- Strengthen relationships with local governments to reduce regulatory friction

Media Marketplace?

Yes. Airbnb monetizes attention through promoted listings, algorithmic ranking, and content discovery. Audiences and data flow between hosts, guests, and advertisers, reflecting the multi-sided media marketplace framework.

2026 Search Strategy

IMC 452 | Individual Assignment #2 | Minko Ma

OBJECTIVES

- **Business:** Grow DTC revenue to 60% of total by EOY 2026; defend market share vs Adidas & On Running
- **Marketing:** Build brand consideration A18-35; convert high-intent search traffic directly to nike.com
- **Media:** Prioritize branded search to protect nike.com traffic; shift budget toward DTC channels to reach 60% direct sales mix

ROI MEASUREMENT

- **ROAS (Brand vs Non-Brand):** Track efficiency by keyword type; optimize via smart bidding toward conversion value
- **Incrementality (iROAS):** Geo holdout tests measure true lift vs organic demand
- **Online → Offline Impact:** Quantify Search-influenced in-store revenue, not just online

COMPLEXITY

- **Split Model** ~40% DTC vs ~60% wholesale — 1st party data gap on majority of conversions
- **Attribution** Consumer searches Nike → ad click → buys at retailer. Search credited 0% of that sale
- **Conquesting** Adidas & retailers bid on our own brand terms, driving up our branded ad costs

WHERE SALES OCCUR

40% — Nike.com + App
Full 1st party data · highest margin · Search directly attributable

45% — Wholesale Retail
Foot Locker, Dick's · zero conversion data · Search impact invisible to CFO

15% — Amazon & Other
Brand defense via Amazon Ads · declining as DTC share grows

SEARCH AD STRATEGY

01 Google

Priority 1 — 90.1% market share
As the dominant search platform, Google drives the majority of DTC conversions. We invest across Brand and Non-Brand keywords, Shopping Ads (PLAs), and Dynamic Search Ads to capture demand at every stage, from awareness to conversion.

02 amazon

Priority 2 — Purchase environment defense
With 15% of sales on Amazon, Sponsored Products on Nike brand terms block Adidas conquesting at the point of purchase. Retail Media investment closes the attribution gap where wholesale data goes dark.

03 AI Search

Watch List
AI-native search (ChatGPT / Perplexity) holds 3.5% share and growing. While no immediate budget shift is planned, AI search optimization (AEO/GEO) will be prioritized as this channel matures.

3 Intersections
of Retail Media Networks & Other Marketplaces



Search: Sponsored product listings function similarly to paid search by reaching consumers with high purchase intent at the moment of consideration and decision-making.



Privacy & Identity: RMNs rely on first-party customer data rather than third-party cookies, making them increasingly valuable as privacy regulations, ATT, and identifier restrictions reshape digital advertising and audience targeting.



CTV / Video & NewFronts: Retailer audiences are now being activated across CTV, online video, and off-site media, allowing brands to connect media exposure directly to retail sales outcomes.

4 Trends
That Will Shape Retail Media in the Next 2-3 Years

1. First-Party Data as a Competitive Advantage

As privacy regulations tighten, retailers with authenticated customer data will become even more powerful advertising partners.

2. Closed-Loop Measurement Becomes the Standard

Advertisers will increasingly prioritize channels that can connect ad exposure directly to purchases, conversions, and measurable ROI.

3. Convergence of Retail Media and CTV

Retailers will expand audience targeting into streaming environments, combining brand storytelling with measurable sales outcomes.

4. Privacy Regulation & Identity Evolution

As identifiers continue to decline and privacy regulations expand, advertisers will increasingly shift budgets toward channels built on authenticated first-party data and privacy-safe measurement solutions.

2 Commitments
for My Future Career

I will establish a routine of following industry publications such as eMarketer, Digiday, and WARC to stay informed on emerging trends and adapt to the rapidly evolving media ecosystem.

I will complete Amazon Ads certifications and deepen my understanding of platforms such as Walmart Connect and Roundel to strengthen my retail media expertise.

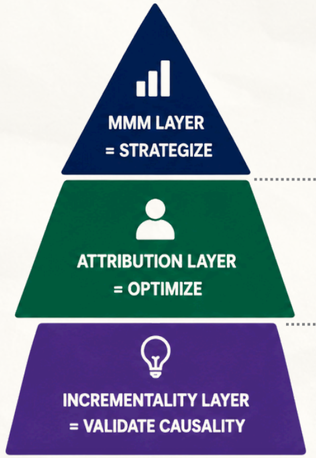
Refining Nike's Full-Funnel Measurement Framework

ROI Critique

Original framework measured only the bottom of the funnel. All three metrics optimize spend but cannot justify budget at a strategic level.

Original Metric	Problem	Upgrade
ROAS by keyword type	Last click bias	MMM + full funnel attribution
Incrementality via geo tests	Covers action layer only	Add brand lift + upper funnel experiments
Online to offline impact	Weak upper funnel visibility	Brand lift + ABCD framework for creative diagnostics

Measurement Tools To Evaluate Impact



Tools & Vendors

- Google Meridian
- Analytic Partners
- Nielsen MMM
- Google Analytics 4 (GA4)
- Adobe Analytics
- Amplitude
- Google Geo Lift/Ads Data Hub
- iSpot (Incrementality)
- Conversion Lift

Watchouts

- Correlation ≠ causation
- Model accuracy depends on historical data
- Long learning cycle
- Last-click bias
- Cross-device & cookie limits
- Doesn't show incrementality
- Needs control groups
- External factors may impact results
- Time & cost intensive

Evaluating Creatives

ABCD Framework

A — Attention
Stop the scroll in first 3 seconds

B — Branding
Make logo/swoosh visible early

C — Connection
Build emotional/human storytelling

D — Direction
Clear CTA to Nike App/SNKRS.

Measure by Stage

Awareness
- Ad Recall Lift
- Reach Quality

Consideration
- CTR
- Engagement rate

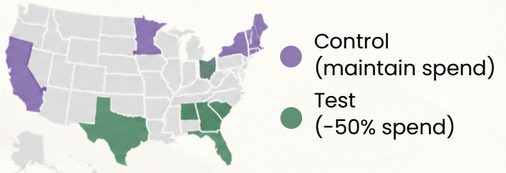
Conversion
- Conversion rate
- CAC & iROAS

Loyalty
- Repeat purchase
- Retention & LTV

Experiment: *Branded Keyword Budget Holdout Test*

Hypothesis

Much of Nike's branded search spend claims credit for sales that would have happened organically. This test quantifies how much.



Design

- **Geo-based A/B test** across matched US market pairs, matched on historical DTC revenue, branded search volume, and Nike member penetration.
- **Control group:** Maintains current branded search spend
- **Test group:** Reduce branded keyword spend by 50%
- Channel: Google Search branded keywords only
- Duration: 4 to 6 weeks

Success Metrics: iROAS | Organic search volume delta | Nike.com direct traffic | DTC revenue gap

Why This Matters: This test answers the CFO's core question: is our branded search spend driving real growth, or just claiming credit for organic demand?